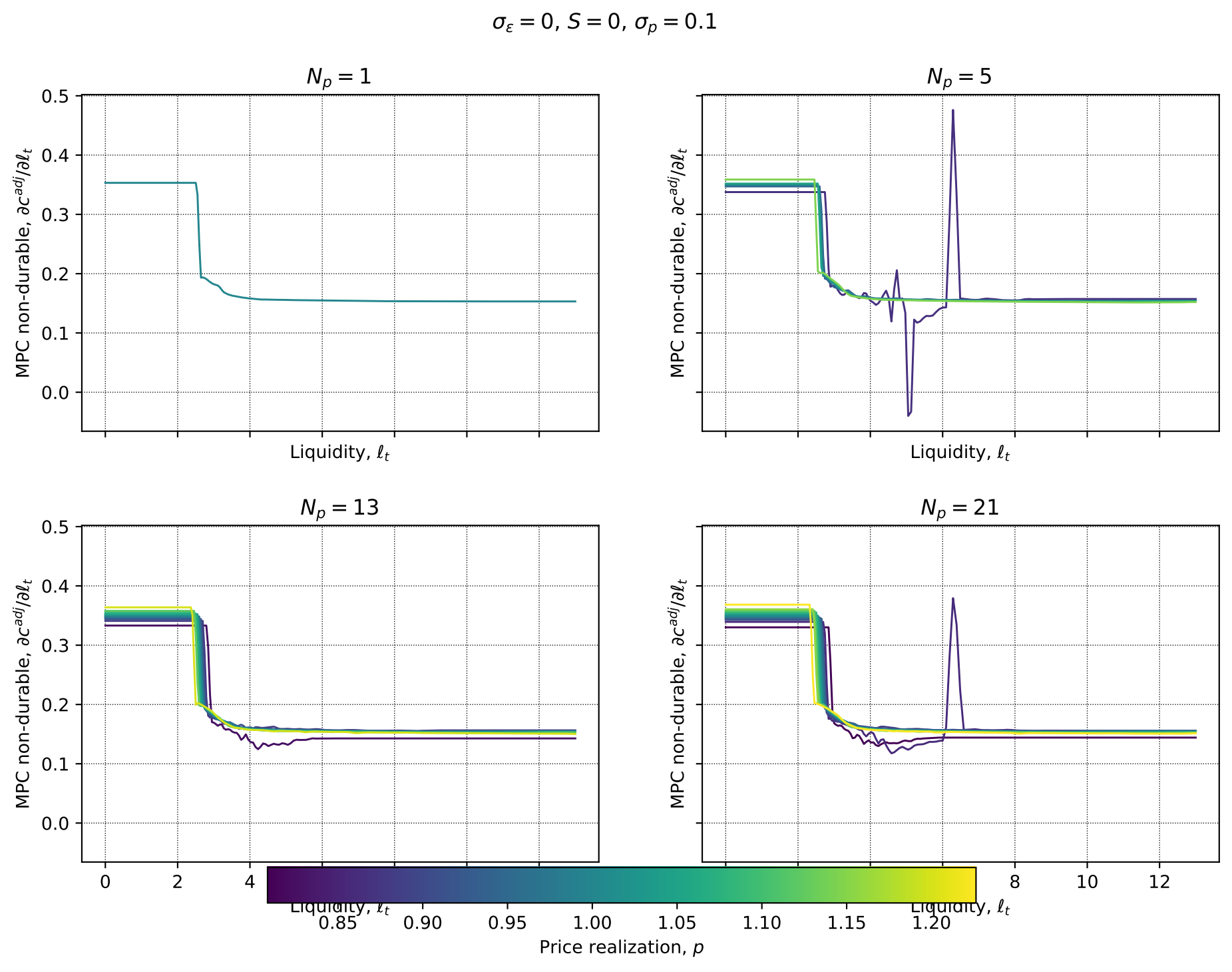
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p = 0.1$
$N_p = 1$
$N_p = 5$
$N_p = 13$
$N_p = 21$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
Liquidity, ℓ_t
0.0
0.1
0.2
0.3
0.4
0.5
0
2
4
8
10
12
0.85
0.90
0.95
1.00
1.05
1.10
1.15
1.20
Price realization, p